that country. Profits are earned by such companies in the country of delivery of the digital service. Therefore, there is a legitimate justification to find a way to tax such companies. India has levied equalization levy, which is an income tax. However, this has still not got established as a direct tax. Rather, this is being passed on to the consumer like an indirect tax.

The recent international agreement (two-pillar solution to address the tax challenges arising from the Digitalization of the Economy Agreement signed in Washington DC in October 2021) to treat such incomes of foreign entities taxable in the country of users of services is a step in the right direction. However, this deal is applicable to a very small number of companies (those with annual global profits of €20 billion and profitability above 10 per cent). When this Agreement comes into force, India would have to abolish the equalization levy. India might not really be a net gainer under the deal and would have to work to bring more multinational digital companies within the scope of this taxation agreement.

Reform Agenda for Indirect Tax System

The taxation system of goods evolved from a tax imposed on the value of the good at the time it passed from a manufacturer or seller to another manufacturer, seller or consumer. Later the system evolved to capture the value added at each stage of manufacture or sale and tax was collected at the net value added. This change, however, does not change the basic nature of taxation of goods and services, which is the taxation of goods and services produced and sold.

The production and distribution of goods and services may take place domestically or abroad. The goods and services brought in the territory of a country for being used in production or consumption usually suffer taxation known as customs duty. The production and distribution of goods and services domestically suffers taxation known as excise duties and value-